

**EMERGENCY COMMUNICATIONS DISTRICT OF
SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)**

FINANCIAL STATEMENTS

June 30, 2006

TABLE OF CONTENTS

	Page
ROSTER OF EMPLOYEES AND BOARD MEMBERS	1
INDEPENDENT AUDITOR'S REPORT	2
FINANCIAL STATEMENTS	
Statement of Net Assets	4
Statement of Revenues, Expenses, and Changes in Net Assets	5
Statement of Cash Flows	6
Notes to Financial Statements	7
SUPPLEMENTAL INFORMATION	
Budgetary Comparison Schedule	14
Schedule of Detailed Expenses	15
Schedule of Information Required by The Tennessee Emergency Communications Board	17
INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH <i>GOVERNMENT AUDITING STANDARDS</i>	19

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

ROSTER OF EMPLOYEES AND BOARD MEMBERS

June 30, 2006

Employee	Title
Mr. Raymond Chiozza	Director
Ms. Pat Evans	Office Manager
Ms. Sue Robbins	Public Education Coordinator
Mr. Harold Truebger	Systems Technician

Board Member	Officer Position (if applicable)	Committee
Mr. Henry Brenner	Chairman	Executive, Personnel, Finance, Building, Technical
Ms. Lois Stockton	Vice Chairman	Executive, Finance, Building, Personnel
Mr. Samuel King	Secretary/Treasurer	Executive, Finance
Mr. William Hughes		Building, Personnel
Mr. Mike Molder		Technical
Dr. Barbara Duncan-Cody		Public Education, Nominating
Ms. Sandra Richards		Public Education, Technical



Watkins Uiberall, PLLC
Certified Public Accountants & Financial Advisors
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William H. Watkins, Jr., CPA

INDEPENDENT AUDITOR'S REPORT

To the Board of Directors
Emergency Communications District of Shelby County, Tennessee
Memphis, Tennessee

We have audited the accompanying financial statements of the Emergency Communications District of Shelby County, Tennessee (a component unit of Shelby County, Tennessee) as of and for the year ended June 30, 2006, as listed in the table of contents. These financial statements are the responsibility of the District's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Emergency Communications District of Shelby County, Tennessee (a component unit of Shelby County, Tennessee) as of June 30, 2006, and the results of its operations and its cash flows for the year then ended, in conformity with accounting principles generally accepted in the United States of America.

In accordance with *Government Auditing Standards*, we have also issued our report dated October 5, 2006, on our consideration of the District's internal control over financial reporting and our test of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Governmental Auditing Standards* and should be considered in assessing the results of our audit.

Our audit was conducted for the purpose of forming an opinion on the financial statements taken as a whole. The accompanying supplemental information listed in the table of contents is presented for the purposes of additional analysis as required by U.S. Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*, and is not a required part of the financial statements of the District. Such information has been subjected to the auditing procedures applied in the audit of the

The Emergency Communications District of Shelby County, Tennessee (a component unit of Shelby County, Tennessee) has not presented the management's discussion and analysis as required by GASB 34, "*Basic Financial Statements – and Management's Discussion and Analysis – For State and Local Governments*," that accounting principles generally accepted in the United States of America has determined is necessary to supplement, although not required to be part of, the basic financial statements.

Watkins Mineral, Inc

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

STATEMENT OF NET ASSETS

June 30, 2006

<u>Assets</u>	
Current Assets	
Cash and cash equivalents	\$ 1,256,567
Investments	7,755,562
Accounts receivable	634,841
Accrued interest income	79,532
Prepays	305,477
Total current assets	<u>10,031,979</u>
Capital Assets	
Capital assets, not being depreciated	1,911,508
Capital assets, being depreciated, net	<u>2,361,559</u>
	<u>4,273,067</u>
	<u><u>\$ 14,305,046</u></u>
 <u>Liabilities and Net Assets</u>	
Current Liabilities	
Accounts payable	\$ 18,968
Compensated absences	22,600
Total current liabilities	<u>41,568</u>
Net Assets	
Invested in capital assets, net of related debt	4,273,067
Unrestricted	9,990,411
Total net assets	<u>14,263,478</u>
	<u><u>\$ 14,305,046</u></u>

The accompanying notes are an integral part of the financial statements.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET ASSETS

For the Year Ended June 30, 2006

Operating Revenues	
Emergency telephone service charge	\$ 4,561,216
State Emergency Communications Board-shared wireless charge	1,778,267
Total operating revenues	<u>6,339,483</u>
Operating Expenses	
Salaries	186,154
Education and training	29,639
Employee benefits	54,456
Contracted services	537,682
Impact payments	403,862
Insurance	16,055
Other charges	16,574
Property and equipment rental	79,749
Public education	90,955
Service fees - BellSouth	856,210
Supplies and materials	12,628
Travel	45,171
Utilities	9,680
Depreciation	988,422
Total operating expenses	<u>3,327,237</u>
Operating income	3,012,246
Non-Operating Revenue (Expense)	
Investment income - net of investment fees of \$49,182	242,464
Net decrease in the fair value of investments	(73,288)
Interest income	3,833
Total non-operating revenue	<u>173,009</u>
Change in net assets	3,185,255
Net assets -beginning	<u>11,078,223</u>
Net assets - ending	<u><u>\$ 14,263,478</u></u>

The accompanying notes are an integral part of the financial statements.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

STATEMENT OF CASH FLOWS

For the Year Ended June 30, 2006

Cash Flows Provided (Used) By Operating Activities	
Cash received from customers	\$ 6,563,528
Cash payments to suppliers	(2,555,545)
Cash payments to employees	(240,610)
Net cash provided by operating activities	<u>3,767,373</u>
Cash Flows Used For Capital and Related Financing Activities	
Purchases of capital assets	(853,541)
Cash Flows From (Used For) Investing Activities	
Purchase of investments	(5,935,927)
Proceeds from maturities of investments	2,215,183
Investment income received	202,118
Net cash used for investing activities	<u>(3,518,626)</u>
Decrease in cash and cash equivalents	(604,794)
Cash and cash equivalents at beginning of the year	<u>1,861,361</u>
Cash and cash equivalents at end of the year	<u><u>\$ 1,256,567</u></u>
Reconciliation of Operating Income to Net Cash Provided by Operating Activities:	
Cash Flows Provided (Used) By Operating Activities	
Operating income	\$ 3,012,246
Adjustments to Reconcile Operating Income to Net Cash Provided by Operating Activities:	
Depreciation	988,422
Changes in Assets and Liabilities	
Accounts receivable	224,045
Accounts payable	(151,863)
Prepaid expenses	(305,477)
Total adjustments	<u>755,127</u>
Net cash provided by operating activities	<u><u>\$ 3,767,373</u></u>

The accompanying notes are an integral part of the financial statements.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

NOTES TO THE FINANCIAL STATEMENTS

June 30, 2006

NOTE (1) – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The Emergency Communications District of Shelby County, Tennessee (a component unit of Shelby County, Tennessee) (the District) was established on November 21, 1984, pursuant to the provisions of Chapter 867 of the Public Acts of 1984 of the State of Tennessee. The District is responsible for establishing local emergency telephone service and a primary emergency telephone number for the residents of Shelby County, Tennessee. The District is governed by a nine member board of directors, which is appointed by the Mayor of Shelby County, Tennessee, and approved by the Board of Commissioners of Shelby County, Tennessee. The District is subject to the will of the Board of Commissioners of Shelby County, Tennessee. The Board has the authority to levy an emergency telephone service charge to be used to fund the operation of the District.

In June 1999, the Government Accounting Standards Board (GASB) unanimously approved Statement No. 34, *Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments*. Certain of the significant changes in the Statement include a Management Discussion and Analysis (MD&A) section providing an analysis of the District's overall financial position and results of operation; however, the District has chosen to omit the MD&A from the financial statements.

Enterprise funds account for operations (a) that are financed and operated in a manner similar to private enterprises where the intent is that the costs of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges or (b) where the governing body has decided that periodic determination of revenue earned, expenses incurred, and/or net income is appropriate for capital maintenance, public policy, management control, accountability or other purposes. Therefore, the financial statements of the Emergency Communication District of Shelby County, Tennessee (a component unit of Shelby County, Tennessee) are prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services in connection with a proprietary fund's principal ongoing operations. The principal operating revenues relate to charges to customers for services. Operating expenses for enterprise funds include the cost of providing those services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Emergency telephone service charge fees are recognized as revenue when collected.

Investments are stated at market value based on quoted market prices.

Property and equipment are stated at cost. Depreciation is computed using the straight-line method over the estimated useful lives of the assets, ranging from three to ten years. Depreciation expense for the year ended June 30, 2006 was \$988,422.

The District applies Financial Accounting Board Standards (FASB) pronouncements and Accounting Principles Board (APB) opinions issued on or before November 30, 1989, unless those pronouncements conflict with or contradict GASB pronouncements, in which case, GASB prevails.

For purpose of the statement of cash flows, the District considers all highly liquid debt instruments purchased with original maturities of three months or less to be cash equivalents.

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Equity is displayed in three components:

- a. Invested in capital assets, net of related debt – consists of capital assets including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances of any bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvement of those assets.
- b. Restricted fund equity – consists of net assets with constraints placed on the use either by (1) external groups such as creditors, grantors, contributors, or laws or regulations of other governments; or (2) law through constitutional provisions enabling legislation.
- c. Unrestricted fund equity – all other net assets that do not meet the definition of “restricted” or “invested in capital assets, net of related debt.”

NOTE 2 - COMPENSATED ABSENCES

District employees are granted sick and annual leave in varying amounts in accordance with administrative policies. Accumulated vacation days and compensatory time are required to be used annually but may be carried forward on written request or by executive direction. In the event of termination or retirement, the employees are reimbursed for accumulated vacation days and compensatory time. Generally, employees are reimbursed for accumulated sick leave, not to exceed 75 days, only upon retirement.

NOTE 3 – CONCENTRATION OF CREDIT RISK

All fee revenue is derived from emergency telephone service charge fees collected and remitted by the various telephone companies. The District's existence is dependent upon these fees and the use of BellSouth's telephone lines and equipment. The District's agreement with BellSouth for use of its equipment is presently on a month-to-month basis. Approximately 72% of the District's service fees are derived from BellSouth and approximately 28% are derived from wireless fees collected by the Emergency Communications Board. At June 30, 2006, the receivables balance was 40% from Bellsouth and 47% from Emergency Communications Board.

NOTE 4 - CASH AND CASH EQUIVALENTS AND INVESTMENTS

Statutes authorize the District to invest in obligations of the United States Treasury, obligations guaranteed as to principal and interest by the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations and federal chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities, banker's acceptances meeting specific rating criteria, commercial paper meeting specific rating criteria, and the state pooled investment fund.

Statutes also require that securities underlying repurchase agreements must have a market value at least equal to the amount of funds invested in the repurchase transaction.

The District's deposits are entirely covered by federal depository insurance (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the State. The FDIC insures the first \$100,000 of the City's deposits at each financial institution. Deposit balances over \$100,000 are insured by the collateral pool. State statutes provide for additional amounts to be assessed on a pro rata basis to financial institutions in the collateral pool in the event that the pool's funds would be insufficient to cover a loss. As of year end, the carrying amount of the District's demand deposits was \$1,256,567 and the bank balances totaled \$1,381,697.

The District limits its exposure to interest rate risk by diversifying its investments.

At year end, the District had the following investments and maturities:

Investment Type	Fair Value	Investments Maturities (in years)		Concentration
		Less than 1	1-5	
Federal Home Loan Bank	\$ 1,881,672	\$ 427,850	\$ 1,453,822	24%
Federal Home Loan Bank Bond	880,384	442,125	438,259	11%
Federal Home Loan Mortgage Corporation	2,895,193	583,078	2,312,115	37%
Federal National Mortgage Association	1,653,072	347,305	1,305,767	21%
Federal National Mortgage Association Note	294,704	294,704	-	4%
Federal Farm Credit Bank	150,537	150,537	-	2%
	<u>\$ 7,755,562</u>	<u>\$ 2,245,599</u>	<u>\$ 5,509,963</u>	<u>100%</u>

Credit quality distribution for investments, with credit exposure as a percentage of total investments are as follows at year end:

<u>Investment Type</u>	<u>Rating</u>	<u>Percentage</u>
Federal Home Loan Bank	AAA	24%
Federal Home Loan Bank Bond	AAA	11%
Federal Home Loan Mortgage Corporation	AAA	37%
Federal National Mortgage Association	AAA	21%
Federal National Mortgage Association Note	AAA	4%
Federal Farm Credit Bank	AAA	2%

NOTE 5 - REIMBURSEMENT TO MUNICIPALITIES

The District has determined that the municipalities participating in the emergency telephone service system should be reimbursed for costs incurred in the ongoing operation of the system. The municipalities are reimbursed at a rate of \$.45 per citizen per year based on the 2000 census. The reimbursement is paid in monthly installments of \$.0375 per citizen. The District also reimburses the municipalities for using foreign language speaking dispatchers. Reimbursements for language lines are based upon the number of language assistance calls received. Total impact payments and language line payments were \$490,687 for the year ended June 30, 2006.

NOTE 6 - COMMITMENTS

The District leases office space under a 1-year lease, expiring February 28, 2006. The lease is renewable for additional one-year terms. Rent expense under the lease agreement totaled \$11,412. Future minimum lease requirements for the year ending June 30, 2007 is \$7,608.

The District has entered into a lease agreement with Shelby County for fifteen acres of land in the event that the District constructs a facility on the property. The lease term will be 50 years renewable for three additional ten year terms. The rent expense is \$1 per year.

NOTE 7 - RETIREMENT PLAN

Plan Description

Employees of Shelby County 911 Emergency Communications District are members of the Political Subdivision Pension Plan (PSPP), an agent multiple-employer defined benefit pension plan administered by the Tennessee Consolidated Retirement System (TCRS). TCRS provides retirement benefits as well as death and disability benefits. Benefits are determined by a formula using the member's high five-year average salary and years of service. Members become eligible to retire at the age of 60 with five years of service or at any age with 30 years of service. A reduced retirement benefit is available to vested members at the age of 55. Disability benefits are available to active members with five years of service who become disabled and cannot engage in gainful employment. There is no service requirement for disability that is the result of

an accident or injury occurring while the member was in performance of duty. Members joining the system after July 1, 1979 become vested after five years of service and members joining prior to July 1, 1979 were vested after four years of service. Benefit provisions are established in state statute found in Title 8, Chapter 34-37 of the Tennessee Code Annotated (TCA). State statutes are amended by the Tennessee General Assembly. Political subdivisions such as Shelby County 911 Emergency Communications District participate in the TCRS as individual entities and are liable for all costs associated with the operation and administration of their plan. Benefit improvements are not applicable to a political subdivision unless approved by the chief governing body.

The TCRS issues a publicly available financial report that includes financial statements and required supplementary information for the PSPP. That report may be obtained by writing to Tennessee Treasury Department, Consolidated Retirement System, 10th Floor Andrew Jackson Building, Nashville, TN 37243-0230 or can be accessed at www.treasury.state.tn.us.

Funding Policy

Shelby County 911 Emergency Communications District has adopted a noncontributory retirement plan for its employees by assuming employee contributions up to 5.0 percent of annual covered payroll.

Shelby County 911 Emergency Communications District is required to contribute at an actuarially determined rate; the rate for the fiscal year ending June 30, 2006 was 10.17% of annual covered payroll. The contribution requirement of plan members is set by state statute. The contribution requirement for Shelby County 911 Emergency Communications District is established and may be amended by the TCRS Board of Trustees.

Annual Pension Cost

For the year ending June 30, 2006, Shelby County 911 Emergency Communications District's annual pension cost of \$18,865 to TCRS was equal to Shelby County 911 Emergency Communications District's required and actual contributions. The required contribution was determined as part of the July 1, 2003 actuarial valuation using the frozen entry age actuarial cost method. Significant actuarial assumptions used in the valuation include (a) rate of return on investment of present and future assets of 7.5 percent a year compounded annually, (b) projected salary increases of 4.75 percent (graded) annual rate (no explicit assumption is made regarding the portion attributable to the effects of inflation on salaries), (c) projected 3.5 percent annual increase in the Social Security wage base, and (d) projected post retirement increases of 3.0 percent annually. The actuarial value of assets was determined using techniques that smooth the effect of short-term volatility in the market value of total investments over a five-year period. Shelby County 911 Emergency Communications District's unfunded actuarial accrued liability is being amortized as a level dollar amount on a closed basis. The remaining amortization period at July 1, 2005 was 13 years. An actuarial valuation was performed as of July 1, 2005, which established contribution rates effective July 1, 2006.

Trend Information

Fiscal Year Ending	Annual Pension Cost (APC)	Percentage of APC Contributed	Net Pension Obligation
June 30, 2006	\$ 18,865	100.00%	\$0
June 30, 2005	\$ 17,443	100.00%	\$0
June 30, 2004	\$ 9,938	100.00%	\$0

Required Supplementary Information

Schedule of Funding Progress for the Emergency Communications District:

(Dollar amounts in thousands)

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Unfunded AAL (UAAL) (b) - (a)	Funded Ratio (a/b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b-a)/c)
July 1, 2005	\$379	\$381	\$2	99.48%	\$172	1.16%
July 1, 2003	\$343	\$345	\$2	99.42%	\$165	1.21%
June 30, 2001	\$306	\$306	\$0	100.00%	\$155	0.00%

NOTE 8 - RISK MANAGEMENT

The District is exposed to potential loss including theft, property damage, public liability, or breach of contract. The District maintains commercial insurance policies in force to handle the above exposures. In the past three fiscal years, the District had no settlements in excess of insurance coverage.

NOTE 9 – CAPITAL ASSETS

Capital asset activity for the year ended June 30, 2006 was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Construction in progress	<u>\$ 1,097,106</u>	<u>\$ 814,402</u>	<u>\$ -</u>	<u>\$ 1,911,508</u>
Capital Assets, Being Depreciated:				
Equipment	\$ 5,239,967	\$ 39,139	\$ -	\$ 5,279,106
Furniture and fixtures	13,756	-	-	13,756
Less Accumulated Depreciation For:				
Equipment	(1,929,125)	(988,422)	-	(2,917,547)
Furniture and fixtures	(13,756)	-	-	(13,756)
Total capital assets being depreciated, net	<u>\$ 3,310,842</u>	<u>\$ (949,283)</u>	<u>\$ -</u>	<u>\$ 2,361,559</u>

NOTE 10 – ACCOUNTS RECEIVABLE

Accounts receivable balances for the year ended June 30, 2006 were as follows:

BellSouth	\$ 254,365
Tennessee ECB	295,837
XO Communications	27,620
US LEC	22,915
Time Warner	13,648
Xspedius	20,456
	<u>\$ 634,841</u>

NOTE 11 – ACCOUNTS PAYABLE

Accounts payable balances for the year ended June 30, 2006 were as follows:

BellSouth	\$ 2,783
Fleming Associates	9,042
Hollaway & Associates	1,906
Internet Security Systems	1,000
Naed	90
Office Depot	50
Platinum Plus	4,097
	<u>\$ 18,968</u>

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

BUDGETARY COMPARISON SCHEDULE

For the Year Ended June 30, 2006

	Original Budget	Final Budget	Actual	Favorable (Unfavorable) Variance
Operating Revenues	\$ 5,991,820	\$ 5,991,820	\$ 6,339,483	\$ 347,663
Operating Expenses				
Salaries	177,409	185,506	186,154	(648)
Education and training	66,000	66,000	29,639	36,361
Employee benefits	74,500	74,500	54,456	20,044
Contracted services	2,985,600	3,168,600	537,682	2,630,918
Impact payments	403,862	403,862	403,862	-
Insurance	18,600	18,600	16,055	2,545
Other charges	38,295	38,295	16,574	21,721
Property and equipment rental	68,612	68,612	79,749	(11,137)
Public education	118,200	118,200	90,955	27,245
Service fees - BellSouth	1,171,483	1,171,483	856,210	315,273
Supplies and materials	13,950	13,950	12,628	1,322
Capital expenditures	189,000	189,000	-	189,000
Travel	57,600	57,600	45,171	12,429
Utilities	20,600	20,600	9,680	10,920
Depreciation	-	-	988,422	(988,422)
Total operating expenses	<u>5,403,711</u>	<u>5,594,808</u>	<u>3,327,237</u>	<u>2,267,571</u>
Operating income	588,109	397,012	3,012,246	2,615,234
Non-Operating Revenue (Expense)				
Investment income - net of investment fees of \$17,785	30,000	30,000	242,464	212,464
Net decrease in the fair value of investments	-	-	(73,288)	(73,288)
Interest income	<u>10,000</u>	<u>10,000</u>	<u>3,833</u>	<u>(6,167)</u>
Total non-operating revenue	<u>40,000</u>	<u>40,000</u>	<u>173,009</u>	<u>133,009</u>
Change in net assets	<u>\$ 628,109</u>	<u>\$ 437,012</u>	<u>\$ 3,185,255</u>	<u>\$ 2,748,243</u>

See independent auditor's report.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

SCHEDULE OF DETAILED EXPENSES

For the Year Ended June 30, 2006

4000	<u>Salaries and Wages</u>	
4001	Director	\$ 65,855
4002	Administrative personnel	120,209
4005	Data processing personnel	90
4100	<u>Employee Benefits</u>	
4101	Social security	15,265
4103	Life insurance	7,110
4104, 4105	Medical/dental insurance	13,426
4106	Disability insurance	(546)
4107	Unemployment compensation	336
4108	Retirement contributions	18,865
4200	<u>Contracted Services</u>	
4201	Addressing/mapping expenses	158,191
4203	Audit Services	8,900
4208	Contracts with private agencies	35,719
4215	Impact payments	403,862
4217	Legal services	25,000
4218	Maintenance agreements	223,047
4227	Lease/rental-communications equipment	856,210
4228	Lease/rental-buildings and facilities	11,412
4230	Lease/rental-office equipment	245
4232	Maintenance and repairs-communications equipment	58,447
4299	Language line	86,825
4299	Capital expenditures	9,645
4300	<u>Supplies and Materials</u>	
4301	Office supplies	4,045
4302	Custodial supplies	44
4303	Data processing supplies	744
4304	Postage	1,780
4305	Small equipment purchases	5,982
4310	Utilities-general telephone	8,669
4311	Utilities-cell phones and pagers	1,011
4399	Printing	33

See independent auditor's report.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

SCHEDULE OF DETAILED EXPENSES (CONTINUED)

For the Year Ended June 30, 2006

4400	<u>Other Charges</u>	
4401	Bank charges	556
4402	Board meeting expenses	3,534
4405	Dues and memberships	4,422
4407	Insurance-workers compensation	1,020
4409	Insurance-buildings and contents	15,035
4412	Legal notices	2,877
4413	Licenses and fees	-
4414	Premiums on surety bonds	3,768
4415	Public education	90,338
4417	Service awards	617
4418	Training expenses	29,639
4419	Travel expenses	45,171
4499	Miscellaneous charges	1,417
4500	<u>Depreciation</u>	988,422
	Total operating expenses	<u>\$ 3,327,237</u>

See independent auditor's report.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

**SCHEDULE OF INFORMATION REQUIRED BY THE TENNESSEE EMERGENCY
COMMUNICATIONS BOARD**

For the Year Ended June 30, 2006

There are fourteen public safety answering points (PSAPs) as listed below:

	PSAPs	Address	Phone No.	Fax No.
1	Bartlett Police Department	3730 Appling Road Bartlett, TN 38133	901-385-5510	901-385-5513
2	Collierville Police Department	478 Keough Collierville, TN 38017	901-853-3207	901-853-3241
3	Germantown Police Department	1930 S. Germantown Road Germantown, TN 38138	901-757-7338	901-757-7211
4	Memphis Fire Department	79 S. Flicker Street Memphis, TN 38104	901-320-5300	901-458-8379
5	Memphis Police Communications	201 Poplar Ave. Room 12-25 Memphis, TN 38103	901-543-2710	901-576-2635
6	Shelby County Fire Department	1115 Sycamore View Memphis, TN 38134	901-385-5100	901-373-4925
7	Shelby County Sheriff	1075 Mullins Station Road Memphis, TN 38134	901-495-1150	901-576-5559
8	Millington Police Department	7950 Memphis Millington, TN 38053	901-872-3333	901-873-2161
9	Naval Support Activities	7800 Third Ave. Bld. S 2 Millington, TN 38054	901-874-5522	901-874-5649
10	Collierville Backup	2823 Houston Levee Road Collerville, TN 38017	-	-
11	Memphis Fire Backup	333 E. Parkway-N Memphis, TN 38104	-	-
12	Memphis Police Backup	79 S. Flicker Street Memphis, TN 38104	-	-

See independent auditor's report.

EMERGENCY COMMUNICATIONS DISTRICT OF SHELBY COUNTY, TENNESSEE
(A Component Unit of Shelby County, Tennessee)

**SCHEDULE OF INFORMATION REQUIRED BY THE TENNESSEE EMERGENCY
COMMUNICATIONS BOARD (CONTINUED)**

June 30, 2006

	PSAPs	Address	Phone No.	Fax No.
13	SCSO Backup	11670 Memphis Arlington Arlington, TN 38002	-	-
14	Shelby County 911 District Offices	6470 Haley Road Memphis, TN 38134	901-380-3911	901-380-4707

All PSAPs within the Emergency Communications District of Shelby County use Plant Equipment, Inc., Vesta M1 or Pallas 9-1-1 controller equipment which is owned by the Emergency Communications District of Shelby County. There is no on-site database, rather the 9-1-1 database is owned by BellSouth and managed by the District. The cost of the database is included with the monthly fee paid to BellSouth. That database resides in both Nashville and Birmingham in BellSouth facilities.

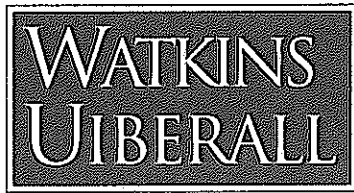
Director

Raymond Chiozza
6470 Haley Road
Memphis, TN 38134
Phone: 901-380-3911
Fax: 901-380-4707

Chairman

Henry Brenner
P.O. Box 770548
Memphis, TN 38117
Phone: 901-322-3902
Fax: 901-322-3901

See independent auditor's report.



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**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF
FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT
AUDITING STANDARDS***

The Board of Directors
Emergency Communications District of Shelby County, Tennessee
Memphis, Tennessee

We have audited the financial statements of the Emergency Communications District of Shelby County, Tennessee (a component unit of Shelby County, Tennessee) as of and for the year ended June 30, 2006, and have issued our report thereon dated October 5, 2006. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in the *Government Auditing Standards*, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered the District's internal control over financial reporting in order to determine our auditing procedures for the purpose of expressing our opinion on the financial statements and not to provide an opinion on the internal control over financial reporting. Our consideration of the internal control over financial reporting would not necessarily disclose all matters in the internal control that might be material weaknesses. A material weakness is a reportable condition in which the design or operation of one or more of the internal control components does not reduce to a relatively low level the risk that misstatements caused by error or fraud in amounts that would be material in relation to the financial statements being audited may occur and not be detected within a timely period by employees in the normal course of performing their assigned functions. We noted no matters involving the internal control over financial reporting and its operation that we consider to be material weaknesses.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

We noted certain matters that we reported to the District's management in a separate letter dated October 5, 2006.

This report is intended solely for the information and use of management, the Board of Directors, and the Comptroller of the Treasury, State of Tennessee and is not intended to be and should not be used by anyone other than these specified parties.

Memphis, Tennessee
October 5, 2006

Matthew Liberal, Pres